greater confidence it enjoyed among the public owing to more professional management.[32]

THE IMPERIAL BANK AFTER 1935

With the establishment of the RBI, the Imperial Bank ceased to be a banker's bank and a banker to the government, but under an agreement with the RBI, it acted as its sole agent in places where the latter had no branches. The bank was freed from some of the restrictions on its working by the amending Act of 1934. Among other things, it was free to establish new branches at such places in India or elsewhere as it deemed fit. Until 1935, the London branches of the bank acted as the custodian of the cash balances of the Secretary of State, and transacted such business as was entrusted to it by him. While the management of the Government of India rupee debt in London was transferred to it from the Bank of England, it was not entrusted with the floatation and management of the sterling loans of the Government of India. But it could float sterling loans on behalf of Indian public bodies, and although it was not allowed to compete with the exchange banks by engaging in general foreign exchange business, it could rediscount bills of the exchange banks. It could also borrow money in the London money market on the security of its assets. From 1935, the government business was taken over by the London branch of the RBI and the London branch of the Imperial Bank conducted ordinary banking business.[33]

Although no longer a banker to the government, the Imperial Bank retained and profited from many aspects of its former special status and role. It continued to manage currency chests and treasuries at many centers. Although it had never been strictly a bankers' bank, it continued to manage clearing houses and accept banks' deposits at places where the RBI did not have a presence, and grant advances to them. Thus even after the creation of the RBI, the Imperial Bank continued to occupy a unique position. Although government balances and certain other accounts were transferred from it to the RBI, the total deposits of the Imperial Bank were still larger than the Indian deposits of all the exchange banks and not very much less than those of all the Indian banks. It also served as a buffer between the RBI and the money market. On account of its immense resources and prestige, the RBI had to share the control and guidance of the money market with it.